Morgan Stanley | RESEARCH

UPDATE

November 12, 2026 01:18 PM GMT

Hon Hai Precision | Asia Pacific

3Q26 OpM beat; stay OW

AlphaSignals Earnings Reaction

Unchanged	**Modest upside**	**Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 4Q outlook: cloud revenue +5-15% q/q/>15% y/y. AI server shipment units up high double digits q/q; revenue up q/q. General servers: milder q/q revenue growth.
- AI server units to grow in high double digits y/y in CY27 as well, driven by share gains.
- 4Q Consumer revenue up >15% q/q and y/y, driven by solid demand and higher ASPs in 4Q.
- 4Q Computing revenue down 5-15% q/q but up 5-15% y/y in 4Q, as unit decline is partially offset by ASP growth.
- 4Q Components revenue to grow 5-15% q/q but flattish y/y.

Cloud:

- Management expects cloud to rise above 60% of the mix in 3-5 years.
- Management expects to gain share in the next-generation Rubin platform, in line with our view (report here).
- Many of Hon Hai's ASIC projects are on consignment (lower revenue but higher GM). Some GPU projects are on consignment as well.

Company:

- Long-term OpM target remains 3%+. Management thinks it's achievable in CY27 despite higher ASP of next-gen AI server racks.
- Demand for key components will continue to outstrip supply in CY27, though it should gradually ease as supply increases.

3Q results:

- Revenue: NT$3,015bn (+19% q/q, +46% y/y), driven by better-than-expected AI server shipments and seasonality for smartphone products.
- GM: 6.0% (-10bps q/q, -30bps y/y), 20bps below our estimate/10bps below the Street, affected by cost pressures and product mix.
- But opex ratio further declined to 2.4% (-20bps q/q) thanks to operating leverage. Thus, OpM reached 3.8% (+10bps q/q, +40bps y/y), 20bps above pour estimate/30bps above the Street.
- Non-op profit was higher than expected, so net profit reached NT$77.5bn (+29% q/q, +34% y/y), 34% above our estimate/11% above the Street, for EPS of NT$5.53.

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Hon Hai Precision (2317.TW, 2317 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$310.00
Up/downside to price target (%)	29
Shr price, close (Nov 12, 2026)	NT$240.00
52-Week Range	NT$314.00-187.50
Sh out, dil, curr (mn)	13,863
Mkt cap, curr (mn)	NT$3,327,118
EV, curr (mn)	NT$2,947,830
Avg daily trading value (mn)	NT$14,471

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	13.61	16.38	19.90	23.03
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	14.77	18.55	23.55	27.56
Revenue, net (NT$ bn)	8,103.1	9,712.0	11,098.8	12,314.3
EBITDA (NT$ bn)	357.0	463.8	555.5	650.1
ModelWare net inc (NT $ bn)	189.4	229.7	279.0	322.9
P/E	16.9	14.7	12.1	10.4
P/BV	1.6	1.6	1.5	1.4
RNOA (%)	13.6	16.5	16.7	17.5
ROE (%)	10.2	11.7	13.3	14.4
EV/EBITDA	7.9	6.7	5.7	4.9
Div yld (%)	3.1	4.0	4.9	5.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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- *3Q mix: Cloud 54%, Consumer 29%, Computing 12%, Components 5%.*

Exhibit 1: Hon Hai 3Q26 results summary

	3Q26P Results						
NT$ mn	Actual	QoQ	YoY	MS Est.	Diff.	Consensus	Diff.
Net Sales	**3,015,634**	**19%**	**46%**	**2,434,232**	**24%**	**2,800,503**	**8%**
COGS	(2,834,121)	20%	47%	(2,283,699)	24%	(2,630,350)	8%
Gross Profit	**181,513**	**17%**	**39%**	**150,533**	**21%**	**170,153**	**7%**
Operating Expense	(66,163)	11%	10%	(61,888)	7%	(72,632)	-9%
Operating Income	**115,350**	**22%**	**64%**	**88,646**	**30%**	**97,521**	**18%**
Total Non-operating Income	3,362	5206%	-79%	681	394%	3,542	-5%
Pre-tax Income	**118,712**	**25%**	**37%**	**89,326**	**33%**	**101,063**	**17%**
Income Tax	(29,689)			(22,340)		(23,666)	
Net Income	**77,524**	**29%**	**34%**	**57,793**	**34%**	**69,691**	**11%**
EPS (NT$)	**5.53**	**30%**	**33%**	**4.12**	**34%**	**4.97**	**11%**
Margin (%)		***ppt***	***ppt***		***ppt***		***ppt***
GM (%)	**6.0%**	-0.1	-0.3	**6.2%**	*-0.2*	**6.1%**	*-0.1*
OPM (%)	**3.8%**	0.1	0.4	**3.6%**	*0.2*	**3.5%**	*0.3*
Pretax Margin (%)	**3.9%**	0.2	-0.3	**3.7%**	*0.3*	**3.6%**	*0.3*
Net Margin (%)	**2.6%**	0.2	-0.2	**2.4%**	*0.2*	**2.5%**	*0.1*

Source: Company data, Morgan Stanley Research estimates.

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Valuation Methodology and Risks

Hon Hai Precision (2317.TW)

Base case scenario value, derived from a residual income valuation model. Our key assumptions include a cost of equity of 8.5%, a medium-term growth rate of 13%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected iPhone sell-through
- Faster progress in AI server business
- Faster EV business development progress
- Any new M&A activity that could improve sentiment

Risks to Downside

- Lower iPhone sell-through
- Smaller profit contribution from AI business
- Slower EV business development progress
- Geopolitical developments that could negatively affect foreign investment

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(as of October 31, 2026)
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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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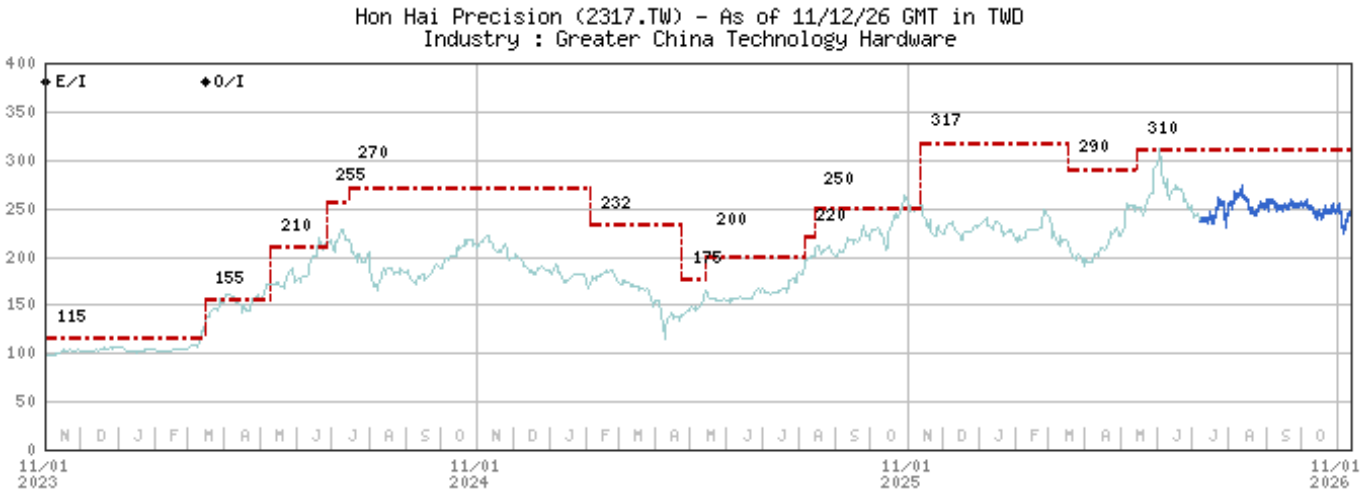
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.58
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb103.28
BYD Electronics (0285.HK)	O (04/28/2023)	HK$20.68
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.80
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.16
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb205.58
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$980.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.66
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.06
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.88
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.10
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,055.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.67
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.47
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$6.05
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$50.30
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.82
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.56
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.20
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb85.20
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.96
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.26
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.30
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb140.34
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.00

Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$29.98
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb268.62
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$95.45
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb112.11
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.77
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb508.90
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$649.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$19.74
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.03
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,525.00
Advantech (2395.TW)	O (01/20/2021)	NT$603.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,050.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,775.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$29.20
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,170.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,515.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.41
Chenbro (8210.TW)	E (11/09/2026)	NT$601.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,420.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,240.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$140.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,980.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$315.00
Innolux (3481.TW)	E (04/07/2025)	NT$38.85
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,165.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb28.05
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$228.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.46
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.47
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$890.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$30.00
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,105.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.80
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.35
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$289.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$975.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$240.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.98
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.86
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,100.00
Lenovo (0992.HK)	O (07/10/2026)	HK$18.81
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,740.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$972.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$92.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$278.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb75.71
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb231.34
Unimicron (3037.TW)	O (02/23/2026)	NT$792.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$377.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$170.00

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,570.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$407.00
Zhen Ding (4958.TW)	++	NT$430.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$368.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$956.00

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